

 Masterclass Day 12

Decoding Important Ratios

The mathematical cheat codes to evaluating any company's true worth.

Your Slice of the Pie: EPS

Earnings Per Share (EPS) tells you exactly how much net profit is allocated to every single outstanding share of common stock.

$$\text{EPS} = \frac{\text{Net Income}}{\text{Total Outstanding Shares}}$$

- » It is the most direct indicator of a company's profitability.
- » A consistently rising EPS indicates that the company is growing its profits effectively over time.
- » Without EPS, you cannot calculate the most famous valuation metric: The PE Ratio.



Valuing Earnings: PE Ratio

Price to Earnings

The PE Ratio tells you how much the market is willing to pay today for ₹1 of the company's current earnings.

$$\text{PE} = \frac{\text{Current Share Price}}{\text{EPS}}$$

If a stock trades at ₹100 and its EPS is ₹5, the PE ratio is 20. You are paying ₹20 for every ₹1 of profit.

Interpretation

High PE: Investors expect high future growth. The stock might be overvalued, or it might be a massive disruptor.

Low PE: The stock is cheap. It could be an undervalued gem (Value Investing), or it could be a dying business (Value Trap).

The Asset Reality Check:

PB Ratio

The **Price to Book (P/B) Ratio** compares a company's market valuation to its actual accounting value (the assets it owns minus its liabilities).

$$\text{PB} = \frac{\text{Market Price per Share}}{\text{Book Value per Share}}$$

When to use it: It is exceptionally useful for evaluating heavy-asset companies, manufacturing firms, and especially Banks and Financial Institutions.

A P/B ratio under 1 suggests the stock is trading for less than the total value of its sellable assets.



Rewarding Investors: ROE



Return on Equity

ROE measures how effectively management is using the investors' money (shareholder equity) to generate profit.

$$\text{ROE} = \frac{\text{Net Income}}{\text{Shareholder's Equity}} \times 100$$

The Benchmark: A consistent ROE of over 15% is generally considered excellent. It shows that the company is highly efficient at turning your investment into solid cash profits without needing external funds.

The Ultimate Efficiency: ROCE

ROCE

RETURN ON CAPITAL EMPLOYED

Why it beats ROE

ROE only looks at equity. But what if a company is generating massive profits solely because it took on dangerous amounts of bank debt?

$$\text{ROCE} = \frac{\text{EBIT}}{\text{Total Capital Employed}}$$

ROCE factors in **both debt and equity**. It reveals the true profitability of all capital used in the business operations. If ROCE is consistently higher than the cost of borrowing, the company is creating immense value.

The Risk Metric: Debt to Equity



The Formula

$$\frac{\text{Total Debt}}{\text{Total Equity}}$$

Measures how much the company is financing its operations through debt versus wholly-owned funds.



The Danger

A highly leveraged company (Ratio > 2) is risky. A heavy debt burden means high interest payments, increasing the risk of bankruptcy during a recession.



The Sweet Spot

Ideally, look for a ratio of < 1. This means the company is primarily funded by its owners rather than its creditors, ensuring long-term financial stability.

Great Job on Day 12!

Tomorrow: Revenue & Profit.

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